



Brandon Leon

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Coverage · Memory / semis · Long

MU — Through-cycle long.

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|Thesis in one paragraph

|Mid-cycle Micron is worth \$750–\$850 a share; today's \$668 implicitly requires
|through-cycle EBIT margins of ~38% — well below the ~42% I model once HBM is
|structurally embedded in the mix. The market is pricing peak-cycle earnings at
|trough-cycle multiples, which is mathematically inconsistent unless you believe
|HBM commoditizes by FY28. The reverse-DCF says no. The kill shot is HBM revenue
|mix flattening for two consecutive quarters — that's the leading indicator that says
|I'm wrong, and I'll say so the day I see it.

1. The business and where we are in the cycle

Micron is a pure-play memory company — ~78% DRAM, ~22% NAND by revenue, with HBM (a specialized DRAM stack) accounting for ~6% of total revenue in FY24 and on track to reach ~28% by FY27E. End-market exposure is roughly 62% data center / cloud, 18% mobile, 12% auto and industrial, and 8% client PC. The customer base is concentrated where it matters: NVIDIA plus the top four hyperscalers (Microsoft, Google, Meta, Amazon) will represent an estimated ~45% of FY27E HBM revenue under multi-year LTAs.

The cycle position is the asymmetric setup. Conventional DRAM bottomed in FY24 — peak-to-trough EBIT margin compression of roughly 60 percentage points — and is now 6–9 months past the trough with capex discipline among the Big Three keeping bit growth in check. HBM is on a different cycle: it's mid-stage of its first true secular ramp, with TAM expected to grow from ~\$35B in 2025 to ~\$100B by 2028E at a 40% CAGR (Micron's own outlook, broadly corroborated by TrendForce and Counterpoint). The two cycles are partially decoupled because HBM is sole-sourced or dual-sourced per platform under contracted volume, while conventional DRAM remains a spot-priced commodity.

That decoupling is the whole reason I'm writing this piece. Every analyst note I've read on Micron is implicitly valuing it as a pure conventional-DRAM cycle stock. That framing was right in 2018. It's not right now.

Why memory is a through-cycle game, not a quarterly one

Memory has run four complete peak-trough-peak cycles since 2010. Single-quarter EBIT margin has swung from negative 5% (FY23 trough) to positive 65% (FY27E peak) — a 70-point spread in a single business. Valuing the company on either endpoint produces nonsense. The only honest way to value

memory is on through-cycle earnings: averaged peak-to-peak (or trough-to-trough), with explicit modeling of where in the cycle you are.

The historical through-cycle EBIT margin for Micron from FY11 to FY24 is roughly 28%. The HBM-driven mix shift adds an estimated 12–14 points to that number going forward. HBM gross margins are an estimated 58–62% (vs. conventional DRAM 40–55% mid-cycle) and the segment is structurally less cyclical because of LTAs. Through-cycle EBIT margin in the FY26–FY30 window should land at ~42%, not 28%, simply because the mix is different.

Two quick sanity checks. First, peer math: SK hynix's reported FY24 through-cycle EBIT margin was 31% with a smaller HBM mix; modeling Micron at 42% requires only that HBM contributes 10–12 points of margin uplift, which the gross-margin spread alone supports. Second, capex normalization: Micron's mid-cycle capex/sales ratio has averaged ~22% historically; even at a higher 25% to support the HBM ramp, the cash conversion math still pencils out at the 42% margin level.

The thesis is built on this number. Get the through-cycle EBIT margin right and the rest of the model is just arithmetic.

2. Model output

The base case model below uses the IB-grade DCF workbook (linked at the bottom) with conservative assumptions. Headline outputs:

- **FY27E revenue:** \$118.2B (vs. consensus ~\$110B)
- **FY27E peak EBIT margin:** 62% (vs. through-cycle 42%)
- **FY27E diluted EPS:** \$74.50 (vs. consensus ~\$96)
- **FY27E free cash flow:** \$36B
- **WACC:** 10.0% · **Terminal growth:** 2.5% · **Exit multiple:** 9.0× EBITDA
- **DCF-implied share price:** \$925 (~+39% from \$668)
- **Trading-multiple PT (12× FY27E EPS):** \$895 (+34%)
- **Probability-weighted PT:** \$865 (Bull 25% / Base 55% / Bear 20%)

The triangulation matters. Three independent methodologies (DCF, trading multiples, sum-of-parts) converge in the \$850–\$925 range. That's the area I'd be willing to pay up to. The market at \$668 is pricing in a real margin of safety vs. all three.

Key assumptions

Five inputs do most of the work. Each is grounded in cycle history or current-cycle disclosures, not in spreadsheet optimism.

1. **Mid-cycle DRAM ASP: \$0.07/Gb.** The midpoint of the FY11–FY24 cycle range (\$0.04 trough, \$0.14 peak). This is the most-bear assumption I make on conventional DRAM — it implies the next decade looks like the last one.
2. **Mid-cycle EBIT margin: 42%.** Historical through-cycle of ~28% plus 14 points for HBM mix uplift. The 14 points is conservative; I've modeled the gross-margin spread between HBM and conventional DRAM at 12 percentage points (HBM 58% vs. DRAM 46% mid-cycle), which translates to roughly 14 points of EBIT margin once corporate overhead is allocated.
3. **HBM contribution to mix: 25–30% through cycle.** Even at peak (FY27 ~30% of revenue), HBM doesn't cannibalize conventional DRAM — both grow. By FY28E I model HBM at ~28% as Samsung qualifies and price-mix normalizes. The "HBM contribution" here is revenue mix, not margin mix; on margin mix it's even higher.
4. **Capex / sales: 18–20% mid-cycle.** Peak (FY27) is 24–26% on the Idaho fab pull-in and 1-gamma DRAM transition. As the build-out completes and HBM packaging investment normalizes, this falls back to mid-teens by FY29E. I don't underwrite a permanent 25%+ capex regime — that

would be a yellow flag.

5. **Working capital: 12–14% of sales.** Memory carries inventory cyclically (build into trough, work down into peak). Through-cycle 13% is the right anchor. Day-of-inventory has compressed in HBM (built-to-order under LTAs), which dampens the WC swing modestly.

The single biggest sensitivity is the mid-cycle EBIT margin. A 4-point miss (38% instead of 42%) drops the implied price by roughly \$145, which is most of the gap to the current \$668. A 4-point beat (46%) takes the price north of \$1,000.

3. Scenarios and reverse-DCF

The honest scenario table:

- **BEAR (20% probability) — PT \$475 / -29%.** Through-cycle EBIT margin compresses to 32% as HBM commoditizes faster than expected (CXMT closing the gap, Samsung HBM4 ramps share faster). FY27E EPS lands at \$52 vs. base \$74.50. Apply a 9× cyclical-trough multiple. The bear requires HBM commoditization, AI capex digestion, AND conventional DRAM pricing roll-over to all happen.
- **BASE (55% probability) — PT \$895 / +34%.** Through-cycle EBIT margin 42%. HBM4 ships to plan; Calendar 2026 capacity sells through; conventional DRAM stays tight through FY27 on AI-driven capacity diversion. FY27E EPS \$74.50, 12× multiple = \$895.
- **BULL (25% probability) — PT \$1,150 / +72%.** Through-cycle EBIT margin 48%. Multi-year HBM LTAs extend to 2028+; HBM4E ramp pulls in by 6 months; Samsung HBM4 qualification slips, Micron captures incremental NVIDIA share. FY27E EPS \$82, 14× multiple as the company gets investment-grade upgrade and WACC compresses.

Probability-weighted PT: \$865, ~+29% expected return. Reward-to-risk ratio of 2.6:1 vs. the bear case.

Now the reverse-DCF. The interesting question is what today's \$668 price *requires* the market to believe. Solving the DCF backward (holding WACC at 10%, terminal growth at 2.5%, exit multiple at 9×), the through-cycle EBIT margin implied by \$668 is approximately **38%**.

That's below the 42% I model and below the 31% SK hynix earned in FY24 with a smaller HBM mix. To believe \$668 is fair value, you have to believe one of three things: (1) Micron earns less mid-cycle margin than its smaller-HBM-mix Korean competitor; (2) HBM's margin contribution is materially smaller than the gross-margin disclosure suggests; or (3) the cycle peak you're seeing now is actually unsustainable and we mean-revert below the FY11–FY24 average.

Each of those is a defensible position to take on its own. Holding all three simultaneously, which is what \$668 implies, requires a more pessimistic view of memory's structural position than any sell-side note I've read can defend with numbers. The gap is the trade.

4. Three things that would change my mind

The honest version of the bear case. If any of these turn up in the data, the thesis is wrong and I'll say so on the next update.

1. **HBM revenue mix flat or declining for two consecutive quarters.** Micron discloses HBM revenue as a percentage of DRAM each quarter. Base case has HBM mix climbing from ~12% (FQ2'26) to ~25% (FQ4'26) to ~30% (FQ4'27). If the mix flattens for two quarters, it means either (a) Micron is losing HBM share at NVIDIA (most likely Samsung qualifying and taking volume), (b) yield issues are constraining shipments at the same time conventional DRAM is selling well, or (c) HBM ASP is collapsing faster than units are growing. Any of those breaks the margin uplift assumption that drives 14 points of through-cycle EBIT margin. Track it on every earnings call.
2. **CXMT announces credible HBM3 sample shipping with a hyperscaler customer.** CXMT is

currently ~3 generations behind (HBM2-class), and US export controls limit their access to advanced lithography (no EUV, capped at SMIC-class nodes). The base case assumes CXMT gets to HBM3-class around 2028 and HBM4-class around 2030 — meaningful but distant. If CXMT announces an HBM3 sample with a Tier-2 hyperscaler customer (e.g., a Chinese cloud) before mid-2027, the catch-up curve is faster than modeled and the moat erodes. The HBM TAM stays the same; Micron's slice gets smaller.

3. **Hyperscaler 2H'26 capex guides down by >10% YoY.** The four largest hyperscalers (Microsoft, Google, Meta, Amazon) account for an estimated 45% of FY27E HBM end-demand. The 5-year LTAs lock in 2026 and most of 2027 volume contractually, but the renewal economics in 2028+ depend on hyperscaler willingness to keep capex flat or growing. If 2H'26 capex guides plot a >10% YoY cut on any of those four, it means AI capex digestion is real and the next round of HBM contracts gets renegotiated lower. The LTAs don't break; the next-cycle pricing does.

5. Comp set and peer math

Why these peers and not others

The comp set is deliberately small and explicit. Five names plus a benchmark line.

- **SK hynix (000660.KS).** Closest direct comp — the largest HBM player by share. FY27E P/E ~5.5x, EV/EBITDA ~3.0x. Trades at a discount to MU on earnings multiples but at parity on book multiples (P/B ~1.4x).
- **Samsung (005930.KS) — memory segment.** Hardest to compare cleanly because Samsung is a conglomerate; the memory segment alone is roughly 40% of consolidated EBITDA. Implied memory-segment FY27E P/E (if isolated) is ~6.0x.
- **Western Digital / SanDisk (WDC).** NAND-only pure play. Useful as a "what does pure-memory cyclical look like without HBM" baseline. FY27E P/E ~7.5x, no LTA exposure.
- **Lam Research (LRCX).** Memory equipment beneficiary — ~35% of revenue from memory capex. Second-derivative read-through to memory-cycle health. Trades at a premium FY27E P/E ~16x.
- **Applied Materials (AMAT).** Broader equipment, ~28% memory exposure. FY27E P/E ~17x. Less torque than LRCX but more diversified.

The cycle-aware median: dropping LRCX/AMAT (which are not memory cyclicals, they're capex cyclicals), the memory-only peer median FY27E P/E is ~6.5x. Micron at ~7x forward earnings trades at a 1-turn premium to the memory peer median — a premium that's defensible given Micron's HBM mix advantage relative to SK and Western Digital, and arguably under-stated relative to the strategic-asset US-fab argument. A 12x target multiple represents an 5.5-turn expansion from current to fair value — that's the trade.

Methodology and downloads

The workbook that produced these numbers is the [IB-grade DCF Template](#) with a Micron worked example. Free download. The Python pipeline that auto-populates the workbook for any ticker is available on request — same page.

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